

Sigma Castings Ltd. & Another v. Purvanchal Vidyut Vitran Nigam Ltd. & Others (with Kundan Castings (P) Ltd.; PVVNL v. Vidyut Lokpal; M/s Shyam Ferrous Ltd.)

Allahabad High Court · Division Bench · 12 September 2013 · Civil Misc. Writ Petition No. 3467 of 2008 (connected with Nos. 3466, 16216, 44169 of 2008) · **Writ petitions disposed of variously — bank-guarantee conditions quashed; independent-feeder requirement upheld; Electricity Ombudsman's award quashed**

HEADNOTE

Clause 3.4(a) of the U.P. Electricity Supply Code, 2005's mandatory independent-feeder requirement for load of 1000 KVA and above to Arc/Induction furnaces, Rolling Mills, Re-rolling Mills and Mini steel plants applies to BOTH new connections AND applications for enhancement of load — whether or not the enhancement results in a change of system or voltage of supply under Clause 4.43(b)/(c) — since Clause 3.4 is a substantive provision using the word 'only', which cannot be rendered otiose by a narrower reading of Clause 4.43 (a purely procedural/time-frame provision); harmonious construction requires reading Clause 4.43 together with, not in isolation from, Clause 3.4. A licensee's mixed feeder (serving multiple unrelated consumers/processes) is not an 'independent feeder' within Clause 2.2(ff), so Clause 3.4(d)'s tapping-permission provision (for independent feeders where separate-feeder construction is infeasible) cannot be invoked to justify tapping a mixed feeder for Clause 3.4(a)-covered industries. An Electricity Ombudsman's award must be consistent with the Act and the Supply Code (Regulation 11, UPERC Consumer Grievance Redressal Forum & Ombudsman Regulations, 2007); an award directing supply via a mixed feeder in derogation of Clause 3.4(a) exceeds the Ombudsman's jurisdiction and is quashed, following *Punjab SEB v. Vishwa Calibere Builders* (Ombudsman cannot direct regularisation/relief absent statutory/regulatory basis). A prior instance of a licensee mistakenly or inadvertently supplying another Clause 3.4(a) consumer via a mixed feeder cannot found a claim of discriminatory treatment under Article 14, since Article 14 does not guarantee negative equality (following *Chandigarh Administration v. Jagjit Singh*; *State of Orissa v. Mamata Mohanty*).

HOLDING-UNITS

HOLDING-UNIT · UP-2005::3.4

Clause 3.4(a)'s mandatory independent-feeder requirement for the specified heavy industries applies to load-enhancement applications as well as new connections, regardless of whether the enhancement changes the system/voltage of supply under Clause 4.43(b)/(c)

QUESTION

Does Clause 3.4(a)'s mandatory independent-feeder requirement (for load of 1000 KVA and above to specified heavy industries) apply only to new connections/Clause 4.43(c) enhancements involving a system/voltage change, or does it also apply to Clause 4.43(b) enhancements not involving such a change?

HOLDING

Clause 3.4(a) applies to both. It is wide enough, and uses the word 'only', to cover both new connections and additional-load applications without qualification — Clause 4.43 (which only prescribes time-frames/procedure) cannot be read to narrow this substantive requirement; a harmonious construction requires reading Clause 4.43 alongside, not divorced from, Clause 3.4. Accordingly, after the Supply Code's 18.2.2005 commencement, any release of 1000 KVA-plus load to Clause 3.4(a) industries — whether by new connection or load enhancement, and whether or not it changes the system/voltage — must be through an independent feeder. ¶ paras 17-28

LIMITING FACTS

Sigma Castings and Kundan Castings sought enhancement of already-sanctioned high-tension loads (from 2700 to 5700 KVA, and 3410 to 6510 KVA respectively) via their existing mixed 33 KV feeders, arguing their applications (not involving a system/voltage change) fell under the lighter Clause 4.43(b) procedure and outside Clause 3.4's independent-feeder mandate.

HOLDING-UNIT · UP-2005::2.2(ff)

A licensee's mixed feeder is not an 'independent feeder' under Clause 2.2(ff), so Clause 3.4(d)'s tapping-permission provision cannot

justify an Electricity Ombudsman directing supply of a Clause 3.4(a)-covered load via a mixed feeder; such an award, being inconsistent with the Supply Code, exceeds the Ombudsman's Regulation 11 jurisdiction and is quashed

QUESTION

Can the Electricity Ombudsman direct a licensee to supply Clause 3.4(a)-covered load (1000 KVA+) via its existing mixed feeder (rather than a newly-constructed independent feeder), relying on Clause 3.4(d)'s tapping-permission provision and on instances of the licensee having previously done so for other consumers?

HOLDING

No. Clause 2.2(ff) defines 'independent feeder' as one supplying a single consumer or group of consumers with a similar process; a mixed feeder serving thousands of differently-processed industries (here, ~5110-11250 industries) does not qualify, so Clause 3.4(d) (which permits tapping of an existing independent feeder where separate-feeder construction is infeasible) has no application to a mixed feeder. The Electricity Ombudsman's award directing supply via the mixed feeder — vague as to duration and contrary to Clause 3.4(a) — exceeded its Regulation 11 jurisdiction (which confines awards to what is consistent with the Act and Supply Code, per *Punjab SEB v. Vishwa Calibere Builders*) and was quashed. Prior instances of the licensee mistakenly supplying other Clause 3.4(a) consumers via the mixed feeder (M/s Nitin Spat) do not found a valid discrimination claim, since Article 14 guarantees no negative equality (*Chandigarh Administration v. Jagjit Singh*; *State of Orissa v. Mamata Mohanty*) — a prior illegality cannot be perpetuated on that ground. ¶ paras 29-48

LIMITING FACTS

M/s Shyam Ferrous Ltd. sought a new 3000 KVA connection via the same 33 KV Fatehpur mixed feeder, obtaining a favourable Electricity Ombudsman award (18.1.2008) directing PVVNL to supply via that feeder, citing difficulty (railway line, agricultural land crossing) in constructing an independent feeder and pointing to two prior consumers (M/s Laxmi Cotsyn, M/s Nitin Spat) supplied via the same mixed feeder.

HOLDING-UNIT · UP-2005::4.49

A condition requiring a bank guarantee for alleged 'arrears' as a precondition to releasing enhanced load is quashed where the underlying assessment giving rise to the alleged arrears was already conclusively revised and paid, with the revision having attained finality; the licensee may, however, later demand a guarantee for genuinely subsequently-arising dues

HOLDING

The Rs. 3.74 crore bank-guarantee condition imposed on Sigma Castings (and, derivatively, on its purported sister-concern Kundan Castings) was quashed, since the underlying 1995 theft-based assessment had been conclusively revised down (from Rs. 3.39 crore to Rs. 9.68 lakh) and paid, with the revision upheld and attained finality in a 2006-dismissed writ petition by UPPCL — a fact PVVNL's counter affidavit did not deny. However, it was left open to PVVNL to require the consumer to clear (or furnish a guarantee for) any dues genuinely accrued since the December 2007 office memorandum (e.g. dishonoured cheques, peak-hour penalties, unpaid current bills), since raising this did not amount to impermissibly supporting the original order on undisclosed grounds. ¶ paras 49-53

LIMITING FACTS

PVVNL demanded a Rs. 3.74 crore bank guarantee from Sigma Castings (and an identical guarantee from Kundan Castings, alleged to be its sister concern) as a condition of releasing enhanced load, based on a stale, already-superseded 1995 theft assessment.

PRINCIPLE TAGS

clause-3.4a-covers-enhancement-not-just-new-connections Clause 3.4(a)'s mandatory independent-feeder requirement for the specified heavy industries applies to load-enhancement applications as well as new connections — a significant clarification refining SCJ-101 (*Pawan Kumar Agarwal*) and SCJ-094 (*Northern Coalfield*) on the scope of Clause 3.4. ¶ paras 24-28

mixed-feeder-not-independent-feeder-ombudsman-cannot-override-code A mixed feeder serving multiple unrelated consumers is not an 'independent feeder' under Clause 2.2(ff); an Electricity Ombudsman award directing supply via a mixed feeder in derogation of Clause 3.4(a) exceeds Regulation 11 jurisdiction and is quashed. Lead authorities: *Punjab State Electricity Board v. Vishwa Calibere Builders Pvt. Ltd.* ¶ paras 29-39

no-negative-equality-in-electricity-supply-decisions A licensee's prior mistaken/inadvertent supply of another similarly-situated consumer via a non-compliant route cannot be invoked to compel repetition of that illegality for a different consumer — Article 14 does not guarantee negative equality. Lead authorities: *Chandigarh Administration v. Jagjit Singh* [373000], *State of Orissa v. Mamata Mohanty*. ¶ paras 43-48

NOT DECIDED — QUANTUM OF ANY POST-DECEMBER-2007 ARREARS (DISHONoured CHEQUES, PEAK-HOUR PENALTIES, UNPAID CURRENT BILLS) AGAINST SIGMA CASTINGS

Left open for PVVNL to examine and, if warranted, issue fresh orders/demand a guarantee. ¶ para 51

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>Punjab State Electricity Board v. Vishwa Calibere Builders Pvt. Ltd.</i> (2010) 4 SCC 539 Supreme Court	In the absence of a provision in the Act or Regulations, an Electricity Ombudsman commits jurisdictional error by directing regularisation of unauthorised use of electricity or refund of alleged excess charges.	Applied as the controlling authority on the limits of Ombudsman jurisdiction.	Respondent (PVVNL)	Followed
<i>Canara Bank v. P.R.N. Upadhyaya & Others</i> (1998) 6 SCC 526 Supreme Court	A Banking Ombudsman (analogous statutory scheme) is bound by governing circulars/directions and cannot issue directions in ignorance of them.	Applied by analogy to confirm the Electricity Ombudsman's award must conform to the governing Supply Code.	Court	Followed
<i>Pawan Kumar Agrawal v. State of U.P. & Others</i> Writ Petition No. 31019 of 2007, judgment dated 12.10.2007 Allahabad High Court	M/s Laxmi Cotsyn Ltd. (a textile-dyeing industry) is not covered by Clause 3.4(a) and cannot be compelled to construct an independent feeder at its own cost; it is entitled to a new connection from the existing mixed feeder.	Distinguished as involving a non-Clause-3.4(a) industry, unlike the petitioners here who conceded coverage by Clause 3.4(a).	Petitioners (for discrimination plea)	Distinguished
<i>Chandigarh Administration v. Jagjit Singh</i> 1995 (1) SCC 745; AIR 1995 SC 705 [373000] Supreme Court	The mere fact an authority passed a particular (possibly illegal) order for another similarly-situated person cannot found a discrimination-based claim to have that illegality repeated; Article 14 does not envisage negative equality.	Applied to reject the discrimination plea based on the Nitin Spat precedent.	Court	Followed
<i>State of West Bengal v. Dabasish Mukherjee</i> (2011) 14 SCC 187 [1043630] Supreme Court	Equality before law is a positive concept, not enforceable negatively; an inadvertent illegal benefit to one person does not confer a legal right on others to the same benefit.	Applied for the negative-equality principle.	Court	Followed
<i>State of Orissa v. Mamata Mohanty</i> (2011) 3 SCC 436 Supreme Court	Article 14 is not meant to perpetuate illegality and does not envisage negative equality; an inadvertent benefit granted to others does not confer a right to the same relief.	Applied alongside Chandigarh Administration and Dabasish Mukherjee for the negative-equality principle.	Court	Followed

A jurisprudence extract prepared from the text of the judgment; not a substitute for the judgment, and to be verified against the original before use.